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Rental expenses

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If you have a residential rental property, you may not be able to claim a deduction for related travel expenses.

Asbestos-affected properties



If you own an asbestos-affected investment property, check the deductions you can claim. CGT may apply if you sell it.

Apartment building defect expenses



If you own an apartment in a building complex, you may be able to claim deductions for shared expenses to fix defects.

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How to claim rental expenses

When to apportion and claim rental expenses, what you can't claim, and how to include deductions in your tax return.



Recent negative gearing changes

Recent changes to negative gearing announced in the 2026–27 Federal Budget don't apply in the 2025–26 tax return.

Rental expense categories

There are 3 rental expense categories, those for which you:

- can claim a deduction now (in the income year you incur the expense) – for example, [interest on loans](#), council rates, [repairs and maintenance](#) and [depreciating assets costing \\$300 or less](#)
- can claim a deduction over several years – for example, [capital works](#), [borrowing expenses](#) and the decline in value of [depreciating assets](#) that cost more than \$300
- [can't claim a deduction](#) – for example, personal expenses, including expenses arising from your personal use of the property, some expenses of a capital nature and the purchase of [second-hand \(or used\) depreciating assets](#) after 9 May 2017.

You can claim expenditure such as interest on loans, local council, water and sewerage rates, land taxes and emergency service levies you incur prior to using it provided you are holding it to [produce assessable rental income](#). Evidence of your holding the property to produce rental income, such as communications with real estate agents or rental managers, must be kept. You won't be holding the property to produce rental income if you have decided not to rent it out – for example, if you decide to use the property for private purposes.

If the land is vacant under the [vacant land](#) provisions, you generally can't claim deductions for expenses incurred in holding land before the property can be occupied and held to produce assessable rental income.

If your rental property is used as a [holiday home](#), you may not be able to claim your ownership and use expenses. For more information, see [Holiday homes](#).

It is important to claim each expense under the correct expense type to make sure you treat it correctly for tax purposes.

Claim the right amount of expenses – methods of apportionment

You will need to work out the amount of the expense that relates to your income-producing activities (apportion your expenses), if any of the following apply:

- your property is only [held to produce assessable rental income](#) for part of the year
- your property is treated as [vacant](#) land for part of the year
- you use your property for private or personal purposes for part of the year
- your property is your [holiday home](#)
- you only use part of your property to earn rent
- you rent your property at less than market rates (non-commercial rates)
- you use your investment loan for private purposes.

If your property is your [holiday home](#), you can't claim deductions for ownership and use of the property unless it is used (or held for use) mainly to produce rental income.

If you co-own your rental property with someone, rental income and expenses must be attributed to each co-owner according to your legal interest in the property.

Expenses, other than those that aren't allowable because your property is a holiday home, need to be apportioned on a fair and reasonable basis if your rental property is used for more than one purpose during the income year. For example, if your rental property is used, or held to, produce assessable income and you also use it for private purposes, your expenses will need to be apportioned.

What is fair and reasonable usually depends on the:

- period of time the property was rented ([time-based method](#))
- area of the property rented ([area-based method](#)).

You may need to use a combination of the time-based apportionment and the area-based method if you rented out part of your property for part (or parts) of the income year.

Your expenses may also need to be apportioned if you charge rent which is less than the market value. If the rent is assessable, it's considered fair and reasonable in these circumstances to apportion for your private and domestic use of the property by limiting the deductible rental expenses to the amount of the rental income you receive. For more information on how to apportion deductions when you charge less than market rates for rent, see [Other methods](#).

If the rent isn't assessable, no expenses will be allowed as deductions. For more information on when rent will and won't be assessable, see [Rental income you must declare](#).

You don't need to apportion expenses that relate solely to renting out the property, such as advertising for tenants and real estate commissions. These are fully deductible in the year they are incurred.

Time-based method

To work out your rental property deductions for periods when you used (or held) the property to earn assessable rental income using the time-based method, use the following formula:

$$[(\text{days used to produce income} + \text{days held to produce income}) \div \text{number of days in the income year you owned the property}] \times \text{expenses}$$

Where:

The 'days used to produce income' is the number of days your property is occupied for rent, which includes days for which rent is paid even if the property is not physically occupied.

The 'days held to produce income' is the number of days your property is unoccupied but [available for rent on commercial terms](#).

If you rent out a room in your home, your property won't be available for rent on commercial terms on days when the room is unoccupied during the income year. This means your 'days held to produce income' will be zero and only those days where the room is rented will be taken into account.

When there is a clear change in the use of your rental property during the income year, for example, when your property starts or stops being

used as a rental, the time-based method can be used to apportion your expenses.

The change of use must be definite and will be determined based on the actual use of the property. The use of a rental property doesn't change due to fluctuations in the use of the property due to seasonal patterns, such as a ski lodge or a beach house.

Example 1: change in use of rental property

Sunita owns a property in Geraldton which she has rented out as a long-term rental for 8 years. After she retires, Sunita decides to move into the Geraldton property.

The tenants move out on 1 March and Sunita moves into the property a couple of weeks later. From 2 March, the property is used by Sunita for private purposes.

During the income year (which is not a leap year), Sunita incurs:

- interest expenses and rates expenses of \$21,596
- repair expenses (which relate solely to damage caused by the tenant) of \$951
- real estate commission expenses of \$1,664.

Sunita can claim a deduction of \$1,664 for the real estate commission expenses and a deduction of \$951 for the repair expenses. These expenses don't need to be apportioned because they relate solely to the period she rented the property out.

Sunita must apportion the other expenses because the property stopped being a rental part way through the income year. Sunita calculates the number of days the property was used to produce income as 245 days (period from 1 July to 2 March).

Using the time-based method, Sunita calculates her interest, rates and repair expenses as:

$$245 \text{ days} \div 365 \text{ days} \times \$21,596 = \$14,496$$

The total deductions Sunita can claim for the income year is \$17,111 (\$14,496 + \$951 + \$1,664).

Example 2: apportionment for private use and days not held to produce income

Daniel and Kate are both chefs. They own a cottage in an area that is popular with summer holidaymakers but has limited rental potential during the colder seasons.

In October, Daniel and Kate move into their cottage so they can work at a nearby restaurant. Their contracts are for 6 months from October to March the following year.

Apart from living in the cottage for 6 months to work in the area, Daniel and Kate don't use it. As the cottage hasn't been used by Daniel and Kate for their holidays and recreation (or the holidays and recreation of their family and friends), the cottage isn't their holiday home.

When they are not living in the house, Daniel and Kate occasionally rent the property to itinerant workers based on word of mouth only. Daniel and Kate only rent the house out for 14 days of the year.

The property isn't held to produce income during the periods the property is unoccupied because it isn't actively advertised or managed as a rental property during that time.

During the income year, Daniel and Kate receive rent of \$1,852 and incur interest expenses, electricity, council rates and water rates of \$16,894 for the cottage.

Daniel and Kate apportion their interest expenses, electricity, council and water rates on a time basis, using the days the cottage was used to produce income (14 days out of 365 days) and calculate them as follows:

$$14 \text{ days} \div 365 \text{ days} \times \$16,894 = \$648$$

Daniel and Kate's total rental deductions will be \$648.

As they own the property jointly, Daniel and Kate will each declare 50% of the rental income ($50\% \times \$1,852 = \926) and claim 50% of the rental expense as a deduction ($\$648 \times 50\% = \324).

Example 3: apportionment for private use of holiday home used (or held to use) mainly to produce rental income

Gail and Craig jointly own a rental property which they also use as a holiday home. They advertise the property for rent through a real estate agent. The rental terms, including the amount of rent, for the property are similar to comparable properties in the area. Gail and Craig have instructed the real estate agent to actively monitor requests for bookings so they can maximise occupancy for the property.

Gail and Craig use the property themselves for 30 days during the year when it isn't rented and in a period when it is unlikely to be rented.

Gail and Craig's holiday home is used (or held for use) mainly to produce rental income because they maximise occupancy and rental income by getting their real estate agent to actively monitor requests and by not blocking it out for their personal use. Also, when they do use it, it is during periods when the property isn't already rented and is unlikely to be rented.

Excluding the 30 days Gail and Craig use it, it is rented or held for rent for 335 days during the income year.

During the year, Gail and Craig's expenses for the property are \$36,628. This includes:

- \$1,828 for the agent's commission and the cost of advertising for tenants
- interest on the funds borrowed to purchase the property
- insurance
- maintenance costs
- council rates
- [the decline in value of depreciating assets](#) and capital works deductions.

Gail and Craig claim the full \$1,828 as a deduction for the agent's commission and costs of advertising for tenants. They can also claim deductions for their other expenses (\$34,800) using the time-based method. Gail and Craig will need to apportion their deduction for the year (which is not a leap year) as follows:

$$335 \div 365 \times \$34,800 = \$31,940$$

Gail and Craig can rental deductions of \$33,768 (\$31,940 + \$1,828). However, as they own the property jointly, Gail and Craig will each be entitled to claim rental deductions of \$16,884 (\$33,768 × 50%).

Area-based method

If you rent out part of your property (for example, the lower floor of a 2-floor property or a bedroom in your home) you need to work out your expenses using the area-based method. You must also apportion your expenses using the [time-based method](#) if you only rented that separate part of your property for part of the year.

The formula for apportioning expenses using the area-based method is:

$$[A + (B \div 2) \div C] \times \text{expenses incurred}$$

Where:

- A is the floor area of the property solely occupied by the tenant
- B is the floor area of the common areas
- C is the floor area of the whole property.

Example 1: apportionment using area-based method

Kim owns a 2-storey townhouse and rents out the bottom floor to a long-term tenant. They each have exclusive possession of their floor. They share the use of the gardens around the house.

The top floor has a large deck and is 55 square metres, the bottom floor is 45 square metres, and the gardens are

35 square metres. The total property is 135 square metres (55 + 45 + 35 = 135).

Kim would work out her apportionment percentage using the area-based method as follows:

$$[45 \text{ square metres} + (35 \text{ square metres} \div 2)] \div 135 \text{ square metres} = 0.4629$$
$$0.4629 \times 100 = 46.3\%.$$

Kim can claim 46.3% of the allowable expenses she incurs related to the property as a deduction.

Example 2: apportionment using area-based method and time-based method

Leanne has a 2-bedroom, 2-bathroom unit in a high-rise apartment. Leanne lives alone and mainly uses the master bedroom and ensuite bathroom. The second bedroom and main bathroom is accessible from the common areas of the unit including the lounge, kitchen and balcony and are mainly used by visitors.

Part way through the year, Leanne decides to let out the second bedroom using a sharing economy platform to earn extra income. She actively monitors replies from the listing and doesn't refuse guests when the room is available. Leanne rents the second bedroom of her property for 100 days during the income year.

The unit is 80 square metres in total. The second bedroom being let is 10 square metres. Leanne also gives paying guests access to common areas including the main bathroom, kitchen, lounge and balcony, which totals 50 square metres and allows guests access to her wi-fi for free if they wish to.

For the period guests are staying and have access to the common areas (along with Leanne), Leanne can claim 50% of the deductible portion of associated costs related to the common areas.

During the income year, Leanne incurs interest expenses, rates, body corporate fees, capital works deductions, electricity and

internet expenses for the property of \$26,153 and sharing platform commission fees of \$425.

To apportion her expenses and work out how much she can claim as a deduction, Leanne must use the area-based method. Leanne must also use the time-based method, because she only rented her second bedroom for 100 days during the income year.

Even if Leanne had the room listed for rent for the whole income year, the days it was unoccupied wouldn't be treated as days held to produce income. This is because when the room is not being rented out, it is treated as being used privately by Leanne as part of her home. Therefore, the number of days held to produce income will be zero.

Step 1 – apply the area-based method

Leanne works out the percentage of the house her guests have access to when they are there using the area-based method as follows:

$$10 \text{ square metres} + (50 \text{ square metres} \div 2) \div 80 \text{ square metres} = 0.4375$$

$$0.4375 \times 100 = 43.75\%$$

Step 2 – apply the time-based method

Leanne lets out the spare bedroom of her property, being her home, for 100 days of the year (which is not a leap year). As she has rented the bedroom out for only part of the income year, she will also need to apportion her deductible expenses using the time-based method. Leanne uses the following formula:

$$100 \text{ days used to produce income} \div 365 \text{ days} = 0.27397$$

$$0.27397 \times 100 = 27.4\%$$

By multiplying the time-based method and area-based method together, Leanne will be able to work out what percentage of her yearly expenses are deductible.

$$43.75\% \times 27.4\% = 11.99\%$$

Leanne can claim a deduction for 11.99% of her interest expenses, rates, body corporate fees, capital works deductions, electricity and internet expenses ($\$26,153 \times 11.99\% = \$3,136$). Leanne can also claim 100% of the expenses associated solely

with renting out the second bedroom, that is, the sharing economy platform's service fees or commission (\$425).

For the income year, Leanne can claim a deduction for rental expenses of \$3,561 (\$3,136 + \$425).

Other methods

If you are renting your property to family or friends and not charging rent at a market rate, it is likely that your property has a mixed use, these uses are:

- producing assessable rental income
- a private or domestic use of providing accommodation for your family and friends.

In these circumstances, your deductions must be apportioned to exclude the amount related to the private or domestic use of the property. Where the expenses you incur that would otherwise be deductible exceed the amount of rent you receive, a fair and reasonable way to apportion your expenses is to limit them to the amount of rental income derived from the property. This will result in no net rental income or loss.

Example: rent below market rate to family

Jana rents a property she owns to her mother for her to live in. Although Jana's mother has signed a standard lease agreement, Jana has set the rent at a below market rates.

Jana provides the discount for private or domestic reasons to assist her mother who can't afford to pay rent at the market rate.

During the income year Jana receives rent of \$15,600 from her mother and she incurs rental expenses, including mortgage interest expenses, insurance, council and water rates and capital works of \$20,578.

The rent that Jana receives from her mother (\$15,600) is assessable rental income. As Jana's deductible expenses exceed

the amount of rent Jana receives, she limits her deductions related to property for mortgage interest, insurance capital works, council and water rates to the amount of rent received from her mother (\$15,600).

Jana has no net rental income or loss.

If you rent your property to family and friends at the market rate of rent, you don't need to apportion your expenses.

To establish that the property has been rented at a market rate, you will need to provide evidence to show how the market rate was calculated at the time the rent amount was set. For example, a real estate rent valuation or listings for similar properties available in the area the property is located at the same time your property was available for rent.

For more information, see:

- [TR 2026/1](#) *Income tax: rental property income and deductions for individuals who are not in business*
- [PCG 2026/2](#) *Apportionment of rental property deductions – ATO compliance approach*
- [PCG 2026/3](#) *Application of section 26-50 of the Income Tax Assessment Act 1997 to holiday homes that you also rent out – ATO compliance approach.*

Positive or negative gearing

Your rental property is:

- **positively geared** if your deductible expenses are less than the income you earn from the property – you make a profit from renting out your property
- **negatively geared** if your deductible expenses are more than the income you earn from the property. You can claim deductions for rental expenses against your rental and other income – such as salary, wages or business income. If your other income isn't enough to absorb the loss, you can carry forward your loss to the next income year. For more information on the changes to negative

gearing announced in the 2026–27 Federal Budget, see [Tax reform – Boosting home ownership – Reforming negative gearing and capital gains tax](#).

Expenses you can't claim

You can't claim a deduction for:

- expenses not actually paid by you, such as water or electricity charges paid by your tenants
- acquisition and disposal costs, including the purchase cost, conveyancing and advertising costs (instead, these are usually included in the property's cost base, which would reduce any capital gains tax when you sell the property)
- decline in value of [second hand depreciating assets](#)
- ownership or use expenses for a [holiday home](#) that isn't used (or held for use) mainly to produce rental income
- GST credits for anything you purchase to lease the premises – GST doesn't apply to residential rental properties, however, when claiming the expense as a deduction, you claim the total amount you've paid (inclusive of GST, if applicable).

Find out about other expenses you can't claim below.

Deductions for vacant land

In most cases, you can't claim a deduction for the cost of holding vacant land. For more information, see [Deductions for vacant land](#).

Supplier ABNs

When you hire a contractor for services and repairs connected with your rental property, you will need to check they have an Australian business number (ABN). If they don't provide you with their ABN, you may have to [withhold](#) 47% from the payment you make to them and transfer that withheld amount to us.

You may not be able to [claim deductions](#) for these expenses if you don't withhold when you were required to.

How to include rental expenses in your tax return

If you lodge your own tax return using myTax, you need to select:

- 'You had Australian interest, or other Australian income or losses from investments or property'
- 'Other foreign income' for overseas property.

Once you have completed the rental property details and the related income fields, you can add your expenses in the 'Rental expenses' fields.

Including rental income and expenses in myTax

Media: How to include rental income and expenses in myTax
<https://tv.ato.gov.au/media/bd1bdiubtjsfhw>  (Duration: 1:56)

QC 23633

Common property expenses

Check the common rental expenses you can claim a deduction for.

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Expenses you can claim

You can claim an immediate deduction for some expenses in the income year you incur them provided your [property is held to produce assessable income](#), that is, rented or available to rent on commercial terms.

If your rental property is also your [holiday home](#), you can only claim an immediate deduction for [ownership and use expenses](#), such as body corporate fees and land tax, if you [used the property \(or held it for](#)

[use\) mainly to produce rental income](#). For more information about what expenses you can and can't claim for a holiday home, see [Holiday homes](#).

To claim a deduction you must:

- actually incur the cost – you can't claim a deduction where the cost is paid by the tenant or someone else
- keep adequate records to prove your deductions if we ask for evidence.

There are some rental expenses you must claim over several years – for example, [capital works](#) and [borrowing expenses](#).

Expenses you can claim an immediate deduction for include:

- advertising for tenants
- [body corporate administrative fund fees and charges](#)
- council rates, water charges, [land tax](#)
- cleaning, gardening and lawn mowing
- pest control
- insurance (building, contents, public liability, loss of rent)
- [interest expenses](#)
- [pre-paid expenses](#)
- property agent's fees and commission
- [repairs and maintenance](#)
- [legal expenses](#).

For more information, see [Rental properties guide](#).

Body corporate administrative fund fees and charges

You may be able to claim a deduction for body corporate fees and charges you pay. Not all body corporate fees are deductible in full in the income year you incur them.

Body corporate fees are a cost you pay to the body corporate or strata to manage the property and maintain common areas. Strata title body

corporates are constituted under the strata title legislation of the various states and territories.

These fees and charges may go towards payments to:

- cover the cost of day-to-day expenses to maintain and manage the building – for example, insurance premiums, maintenance of gardens and management of the body corporate itself
- a special purpose fund, for a specific expense – for example, roof repairs and building insurance.

Regular payments you make to body corporate administration funds or general purpose sinking funds for ongoing administration and general maintenance are considered to be payments for the provision of services by the body corporate. You can claim an immediate deduction for these regular payments at the time you incur them.

You can't claim a deduction for a special levy you are required by the body corporate to pay to fund a particular capital improvement. You may be able to claim a [capital works deduction](#) for the cost of capital improvements or repairs of a capital nature once the work is completed. The cost must also be charged to either the special purpose fund or the general purpose sinking fund, if a special contribution has been levied.

For a summary fact sheet of what you can and can't claim, go to the ATO Publication Ordering Service to download [Rental property body corporate fees and charges \(NAT 75375, PDF 222KB\)](#) [↗](#).

Pre-paid expenses

A pre-paid expense is a cost you incur under an agreement for services to be done (in whole or in part) in a later income year. For example, payment of an insurance premium on 1 January that provides cover for the entire calendar year or pre-paid interest on money you borrow.

You can generally claim an immediate deduction in the income year you make the prepayment for:

- expenses of less than \$1,000
- expenses of \$1,000 or more where the eligible service period is 12 months or less and ends in the next income year (such as

payment of an annual insurance premium part way through an income year).

The eligible service period is the time taken for a thing to be done under an agreement in return for payment.

The eligible service period begins on the later of either:

- the day the thing under the agreement begins to be done
- the day the expense is incurred.

The eligible service period continues until the earlier of:

- the end of the last day the thing under the agreement stops being done
- 10 years.

A pre-paid expense for your rental property of more than \$1,000, where the eligible service period is greater than 12 months, or ends later than the following income year, will have to be spread over the shorter of either:

- the eligible service period
- 10 years.

For more information, see [Deductions for prepaid expenses](#).

Legal expenses

Rental property legal expenses are costs you incur to prepare, register, protect and manage your rental property.

You can claim a deduction for some of the legal expenses you incur to produce your rental income. You can claim these expenses in the income year you incur them.

You can claim the cost of the following as deductions:

- evicting a non-paying tenant
- expenses for taking court action for loss of rental income
- defending a claim for damages from injuries suffered by a third party on your rental property.

You can also claim a deduction for solicitor's fees for the preparation of loan documents as [borrowing expenses](#). If the total of your borrowing

expenses is more than \$100, your deduction is spread over the life of the loan or 5 years, whichever is less.

Most other legal expenses you incur relating to your rental property are capital and can't be claimed as a deduction. The following legal expenses may be included in the cost base when you [sell the property](#):

- solicitor's fees for the purchase or sale of the property
- legal costs associated with resisting land resumption
- legal costs associated with defending your title to the property (for example, defending an action by the mortgagee to take possession of the property where you have defaulted under the loan).

Land tax expenses

If you earn rental income from a property, you can claim a deduction for land tax. Include the deduction in the income year the liability relates to, not the year you pay it.

State authorities sometimes issue land tax assessments for different periods of time, including amounts from earlier years (arrears). If you pay an amount in arrears, you must [amend your tax return](#) for the relevant year so the deduction is claimed correctly.

You can claim a land tax deduction for:

- the current year as a deduction in your tax return
- prior years by lodging an amendment for the year the liability relates to.

Land tax deductions don't need to be apportioned in the income year you:

- start to use the property as your main residence
- sell the property.

You need to declare any land tax adjustments as rental income when you sell the property.

For more information, see [Rental properties guide – land tax](#).

Depreciating assets in rental properties

How to claim a deduction for depreciating assets and work out decline in value.

Last updated 21 May 2026

Depreciating assets

Depreciating assets are items that can be described as plant, that don't form part of rental property premises. Premises refers to the actual structure of the rental property's building.

Under the uniform capital allowance rules, you can claim a deduction for the [decline in value of depreciating assets](#) used for income-producing purposes, for example a dishwasher in a rental property which is held to produce assessable income, that is, rented or available to rent on commercial terms.

Some assets don't decline in value, such as land, trading stock and some intangible assets (for example, goodwill).

We recommend you keep a spreadsheet (as a minimum) for your depreciating assets as part of your record keeping. A quantity surveyor can prepare a report at the time a rental property is purchased.

Depreciating assets are usually:

- separately identifiable
- unlikely to be permanent
- replaced within a relatively short period
- not part of the structure of the building.

None of these factors alone can determine if an item is part of the premises. They must all be considered together.

For a list of common rental property items and their treatment as depreciating assets or capital works, see [Residential rental property](#)

[items](#).

You can claim a deduction for the item's decline in value. You can choose to use either:

- the effective life the Commissioner determines for these assets
- your own reasonable estimate of the effective life.

You must keep records to show how you work out the decline in value.

For a summary of the difference between repairs, maintenance and capital expenses, go to the ATO Publication Ordering Service to download [Rental repairs, maintenance and capital expense \(NAT 75208, PDF 242KB\)](#) .

Decline in value of depreciating assets

Depreciating assets have an effective useful life and are reasonably expected to decline in value over time.

For depreciating assets costing more than \$300, you can claim deductions for the decline in value over its [effective useful life](#). Examples of such assets in your rental property or holiday home include:

- floating timber flooring
- carpets
- curtains
- appliances like a washing machine or fridge
- furniture.

When you purchase a rental property, either new or second-hand, you have bought a building plus separate depreciating assets, such as air conditioners, stoves and other items.

There are limitations that apply to decline in value of [second-hand depreciating assets](#).

The decline in value of a depreciating asset starts when you first use it or install it ready for use – it doesn't matter whether it's for a private purpose or to earn assessable income. For example, if you purchased and installed a new asset on 1 January and used it for private purposes for the first 2 weeks, you calculate the decline in value from that date.

However, your deduction must be reduced for any private use of the asset.

Special rules apply to some assets that may allow you to claim deductions for their decline in value (depreciation) more quickly.

This video explains depreciating assets and when you can claim them as a deduction for a rental property.

Media: Claiming depreciating assets

<https://tv.ato.gov.au/ato-tv/media?v=bd1bdiun85ity3>  (Duration: 2:21)

Depreciating assets costing \$300 or less

Assets costing \$300 or less can be claimed as an immediate deduction (a full deduction) in the income year you used the asset for a taxable purpose.

You can't claim an immediate deduction if the asset is part of a set of assets that together cost more than \$300. For example, if you buy 4 dining chairs each costing \$250 for your rental property you can't treat them as separate assets.

New assets

You can claim the decline in value of new depreciating assets.

This includes depreciating assets purchased with a newly built or [substantially renovated](#) property, if no one was previously entitled to a deduction for the decline in value, and either:

- no one resided at the property before you acquired it
- the asset was installed for use, or used at the property, and you acquired the property within 6 months of it being newly built or substantially renovated.

Example: claiming the decline in value of depreciating assets

Kerrie purchased a unit off-the-plan from a developer as an investment (it was new and no one lived in it prior to that time).

The property included depreciating assets such as curtains and furniture installed before settlement and the transfer of title to Kerrie.

Kerrie engages a qualified quantity surveyor to get a full list of all depreciating assets that she can claim each year until the end of their effective lives.

Kerrie is entitled to claim deductions for decline in value of the depreciating assets because no one has lived in it before she purchased it.

Example: claiming the decline in value of depreciating assets

Kate purchased a residential investment apartment from a developer 4 months after completion. It was already tenanted when Kate purchased it. The developer wasn't entitled to claim a deduction for the decline in value of the depreciating assets at the property because they were his trading stock.

The property included depreciating assets such as curtains and furniture installed before settlement and the transfer of title to Kate.

Kate engages a qualified quantity surveyor to get a full list of all depreciating assets that she can claim each year until the end of their effective lives.

Kate is entitled to claim a deduction for decline in value of the depreciating assets (although they have been used by the tenants) because both of the following apply:

- no one could claim any deductions for decline in value of the depreciating assets
- the property was supplied to Kate within 6 months of being built.

If Kate had entered into the contract to buy this apartment after 6 months of it being newly built, she wouldn't have been entitled

to claim a deduction for the decline in value of any of the depreciating assets that were already in it at that time.

Calculating deductions for decline in value

To work out your deduction for decline in value, use either the:

- diminishing value method – the decline in value each year is a constant portion of the remaining value – claiming higher deductions in the early years of its effective life
- prime cost method – the decline in value each year is a uniform amount of the original value over its effective life – claiming a lower but more constant portion each year.

Depreciating assets valued at less than \$1,000 can be grouped in a low-value asset pool and depreciated together.

Example: calculating deductions for decline in value

Laura purchased a new outdoor table for her rental property on 1 July 2025, for \$1,500. It has an effective life of 5 years. She can choose to use either the diminishing value or prime cost method.

Diminishing value method

The formula for the annual decline in value using the diminishing value method is:

$$\text{Asset's cost} \times (\text{days held} \div 365) \times (200\% \div \text{asset's effective life})$$

The decline in value for 2025–26 is \$600, worked out as follows:

$$1,500 \times (365 \div 365) \times (200\% \div 5)$$

Laura is entitled to a deduction for decline in value of \$600.

The adjustable value of the asset on 30 June 2026 is \$900. This is the cost of the asset (\$1,500) less its decline in value up to 30 June 2026 (\$600).

Prime cost method

The formula for the annual decline in value using the prime cost method is:

$$\text{Asset's cost} \times (\text{days held} \div 365) \times (100\% \div \text{asset's effective life})$$

The decline in value for 2025–26 is \$300, worked out as follows:

$$\$1,500 \times (365 \div 365) \times (100\% \div 5)$$

Laura is entitled to a deduction for decline in value of \$300.

The adjustable value of the asset on 30 June 2026 is \$1,200. This is the cost of the asset (\$1,500) less its decline in value up to 30 June 2026 (\$300).

For help to help work out the deduction you can claim from a depreciating asset, see [Depreciation and capital allowances tool](#).

Second-hand depreciating assets



In most cases you can't claim a deduction for second-hand depreciating assets after 1 July 2017.

QC 103906

Second-hand depreciating assets

In most cases you can't claim a deduction for second-hand depreciating assets after 1 July 2017.

Last updated 22 June 2026

Second-hand depreciating assets you can't claim

Second-hand depreciating assets are [depreciating assets](#) that were already installed ready for use or used:

- by another entity (except as trading stock)

- in your private residence
- for a non-taxable purpose, unless that use was occasional (for example, staying at the property for one evening while carrying out maintenance activities would be occasional use).

Second-hand depreciating assets for residential rental properties are generally things that were in a property when you purchased it, or your private residence that you later rent out.

You can't claim a deduction for certain second-hand depreciating assets unless you are either:

- using the property in carrying on a business (including a [business of letting rental properties](#))
- one of the following
 - corporate tax entity
 - superannuation plan that is not a self-managed super fund
 - public unit trust
 - managed investment trust
 - unit trust or a partnership, where all of the members are entities of a type listed above.

Otherwise, you can only claim deductions for second-hand or used depreciating assets in residential rental properties if both of the following apply:

- you purchased the asset before 7:30 pm on 9 May 2017
- you installed it into your rental property before 1 July 2017.

Example: Tim's rental property

Sue purchased her house in 2009. In October 2025, she listed her house for sale. While it was advertised, she moved out and replaced the carpet. No one lived in the house while it was advertised. The house was then sold to Tim. After purchasing the property, Tim rented it out immediately.

Tim can't claim a deduction for the decline in value of the depreciating assets in the property because they were all

previously used. He also can't claim a deduction for the decline in value for the carpet because he didn't own the asset when it was first installed ready for use.

Example: asset used privately

Eliza purchased a dishwasher in April 2017 and used it for private purposes at home (her main residence). In July 2019, she installed this dishwasher in her residential rental property. Eliza can't claim deductions for the dishwasher's decline in value because:

- she had previously used it privately, and
- she installed it in her rental property after 30 June 2017.

Home turned into a residential rental property

If you turn your home into a residential rental property on or after 1 July 2017, you can't claim a deduction for the decline in value for depreciating assets that were in your home. You can only claim a deduction for the decline in value for any new depreciating assets that you purchase for your residential rental property.

Example: changing main residence as a residential property

At the start of 2016, Kendrick purchased a home as his main residence. In August 2017, Kendrick moved out and rented out the property fully furnished, which included the furniture and fittings he had been using while living there.

As Kendrick's home was made available for rent on or after 1 July 2017, he isn't able to claim a deduction for the decline in value for any remaining effective life of the used depreciating assets in it.

Kendrick can claim a deduction for the decline in value of the new depreciating assets that he purchases for his rental property.

Exceptions – when you can claim

You can claim a deduction for the decline in value of second-hand depreciating assets if any of the following apply:

- You are [carrying on a business of letting rental properties](#).
- You purchased your residential rental property or a second-hand depreciating asset for your residential rental property before 7:30 pm (AEST) on 9 May 2017.
- You used a depreciating asset that you acquired before 7:30 pm (AEST) on 9 May 2017 and then, before 1 July 2017, you installed it at your residential rental property.
- Your rental property is not used to provide residential accommodation; for example, it is let out for commercial purposes (such as a doctor's surgery).
- The entity that owns the residential rental property is an [excluded entity](#).
- The income generating activities at your rental property are unrelated to providing residential accommodation (for example, solar panels used in generating income from the sale of electricity).

Example: claiming the decline in value of second-hand assets

Sharon has been renting out her residential property since September 2015. In March 2017, she purchased a second-hand fridge to replace the fridge that had broken down.

Because Sharon purchased the second-hand fridge for her rental property before 7:30 pm on 9 May 2017, she can claim a deduction for the decline in value for any remaining effective life of the asset.

Example: second-hand depreciating asset

Don purchased a second-hand clothes dryer and installed it in his residential rental property on 8 May 2017.

Assuming the dryer had 5 years of remaining effective life, Don can claim deductions for its decline in value for 5 years because he had purchased and installed the dryer before 9 May 2017.

Home turned into a rental property before 1 July 2017

If you turned your home into a residential rental property, you can only claim a deduction for the decline in value of assets in it if both of the following apply:

- You purchased your home before 7:30 pm on 9 May 2017.
- You turned your home into a residential rental property before 1 July 2017.

Example: assets bought after 9 May 2017

At the start of 2016, Marty purchased a home as his main residence.

In June 2017, Marty moved out and rented out the property fully furnished, which included the furniture and fittings he had been using while living there.

As Marty rented out his home before 1 July 2017, and he purchased it before 7:30 pm on 9 May 2017, he can claim a deduction for the decline in value for any remaining effective life of the used depreciating assets in it.

However, from the 2017–18 income year, Marty can't claim a deduction for the decline in value of any second-hand depreciating asset that he purchases and installs after 7:30 pm on 9 May 2017.

If Marty:

- Moved out in June 2017 and the property was vacant until he made it available for rent in July 2017, he couldn't claim a deduction for the decline in value for any remaining effective life of the used depreciating assets in it.
- Purchased a new asset for the rental property after he moved out, he can claim a deduction for its decline in value, as the asset wasn't previously used.

For more information on depreciation, including a list of rental property items that can be depreciated, see the [Rental properties guide](#) or the [Guide to depreciating assets](#).

QC 103908

Repair and maintenance expenses

Find out how and when to claim your repair and maintenance expenses.

Last updated 22 May 2026

What you can claim

Repair and maintenance expenses are costs you incur to:

- keep your property in a tenantable condition
- fix wear and tear or damage that occurs while renting out your property.

To be a deductible expense, the property must either continue to be:

- rented on an ongoing basis
- held to produce assessable income, that is, it must remain available for rent on commercial terms, even if there is a short period where the property is unoccupied – for example, unseasonable weather causes cancellations.

If your rental property is also your [holiday home](#), you can't claim a deduction for repair and maintenance expenses, or any other [ownership or use expenses](#), unless you use the property, [\(or hold it for use\) mainly to produce rental income](#). For more information about holiday homes and what expenses you can claim, see [Holiday homes](#).

If you do your own repairs or maintenance work, you can't claim a deduction for the value of your contribution to the work, that is, your labour. However, you can claim a deduction for the cost of any materials you buy to carry out the repair or maintenance work.

For more information, see [TR 97/25](#) *Income tax: property development: deduction for capital expenditure on construction of income producing capital works, including buildings and structural improvements*.

Some repairs are considered capital in nature and must be claimed over several years. This may include:

- [initial repairs](#) for defects that existed at the date you acquired the property
- [improvements](#), which are capital works
- replacement of entire units of property, including [depreciating assets](#).

Example: doing your own repairs or maintenance

Sanjay owns a rental and his tenants have just moved out. Due to wear and tear on the property by his former tenants, he needs to repaint a few walls before getting new tenants in.

Sanjay decides to repaint the walls himself over a weekend.

Sanjay can claim a deduction for the cost of the materials to prepare and paint the walls. He can't claim a deduction for what he considers to be the value of his own labour.

Example: replacement of an entirety

Robin has owned his rental property for 10 years when a toilet is damaged. The entire toilet needs to be replaced.

The toilet is a fixture but also an entirety because:

- it is identifiable as a separate item of capital equipment
- it provides a useful function independent of the rest of the premises.

Replacing an entirety is not a repair. The cost of installing the new toilet is claimed as a capital works deduction.

Repairs

Repairs are done to remedy defects in, damage to or deterioration of the property. Repairs must relate directly to wear and tear or other damage that occurred while you were renting out the property.

Any repairs for remedying damage that existed when you acquired the property are [initial repairs](#) and are capital in nature.

Examples of repairs you can claim immediately include:

- replacing a cracked pane of glass in a window
- replacing part of the gutter
- fixing or replacing part of a fence
- repairing electrical appliances or machinery.

If you no longer rent the property, you may still be able to claim repair expenses where both:

- the need for repairs related to a period when the property was income producing
- the property was income producing during the income year you incurred the expenses.

Repairs versus improvements

If you make repairs and improvements to your property simultaneously, you can only claim a deduction for the cost of repairs if you can separate the cost of the repairs from the cost of the improvements.

An improvement is anything that makes part of the property better, more valuable, more desirable or changes the character of the item that is being worked on (for example, a renovation).

If you hire a builder or other professionals to carry out these works, we recommend you ask for an itemised invoice to help work out your claim.

Example: apportioning expenses between repairs and improvements

Caitlin modernised her rental property by hiring tradespeople to render and paint the external walls.

She also asked the painter to paint the internal walls, which had deteriorated during the time she rented out the property.

As Caitlin requested an itemised invoice from the painter, she could separate the cost of the internal and external painting, and rendering. Because of this, she could claim a deduction for the cost:

- of painting the internal walls as a repair
- of rendering and painting the external walls as a capital works deduction.

Maintenance

Maintenance means work to prevent deterioration or fix existing deterioration. Maintenance generally involves keeping your property in a tenantable condition.

Examples of maintenance include:

- repainting faded or damaged walls
- oiling, brushing or cleaning something that is otherwise in good working condition – for example, oiling a deck or cleaning a swimming pool

- maintaining plumbing.

You can claim a deduction for maintenance expenses in the income year you incur them.

Initial repairs

Initial repairs to rectify damage, defects or deterioration that existed at the time of purchasing a property can't be claimed as an immediate deduction. It doesn't matter if you were unaware of the need to make repairs to the property at the time you purchased it.

Initial repairs to property such as a fence or building can generally be claimed as a [capital works](#) deduction over 40 years. Initial repairs to depreciating assets can't be claimed as a deduction, however the decline in value of new replacement assets is generally deductible as [capital allowances](#).

The cost of initial repairs forms part of the capital gains tax (CGT) cost base when you sell the property. You must reduce the CGT cost base by amounts claimed (or that you were entitled to claim) as capital works for the initial repairs.

Example: initial repairs not deductible (existing damage)

Lisa buys a property with the intention of renting it out. At the time of purchase Lisa knew that she would need to repair the roof (replace all roof tiles) and part of the ceiling as they were in a poor condition.

When carrying out the works, Lisa discovered there was extra structural damage that required her immediate attention. The repair to the ceiling cost her \$2,000, the replacement of roof tiles cost her \$9,000 and the structural work cost her a total of \$15,000.

The 'initial' repair of the ceiling of \$2,000 isn't deductible, but as with the replacement of the entire roof and the structural work, it can be claimed as a capital works deduction.

When the property is sold, Lisa can include the \$26,000 for the work to rectify the existing damage in her CGT cost base,

reduced by the amount of the capital works deductions she has already claimed (or was entitled to claim).

For more information about how CGT applies to rental properties, see our [Guide to capital gains tax](#).

For a summary of the difference between repairs, maintenance and capital expenses, go to the ATO Publication Ordering Service to download [Rental repairs, maintenance and capital expense \(NAT 75208, PDF 242KB\)](#) [\[PDF\]](#).

Work out the category of your rental upkeep expenses



Use our quick reference guide to categorise and claim rental repairs, maintenance and capital works.

QC 103907

Work out the category of your rental upkeep expenses

Use our quick reference guide to categorise and claim rental repairs, maintenance and capital works.

Last updated 22 May 2026

It's important to correctly categorise upkeep expenses for your rental property to ensure they are treated correctly for tax purposes. Our quick reference guide in the table below will help you to work out which category your expense relates to.

If your property is your [holiday home](#), you can't claim deductions for repairs and maintenances unless the property is used (or held for use) mainly to produce rental income.

Table: working out the category of your rental property expense

Situation	Category	Example	Claim at
Replacing something that is worn out, damaged or broken while renting out the property	Repair	Replacing part of a fence damaged in a storm Hiring a plumber to fix a leaking tap	Repairs and maintenance
Preventing or fixing deterioration of an item that occurred while renting out the property	Maintenance	Repainting faded interior walls Re-oiling a deck	Repairs and maintenance
Repairing damage that existed when the property was bought (whether it was known at the time of purchase or not)	Initial repair	Fixing floorboards or repairing deteriorated window frames where the damage existed when the property was bought	Capital works This is an initial repair and the construction expenditure is written off at 2.5% over 40 years. This doesn't include initial repairs to depreciating assets in the property, for which no deduction can be claimed.

Replacing an entire structure	Capital works	Replacing an entire fence	Capital works
Renovating or adding a new structure to the property	Capital works	Adding a carport	Capital works
Installing a brand-new appliance or window covering	Depreciating asset	Buying a new dishwasher Installing new blinds	Capital allowances

QC 103912

Capital expenses

What to do with your capital expenses, including capital works, improvements, and substantial renovations.

Last updated 21 May 2026

What are capital expenses

Capital expenses are expenses that provide long-term benefits to your property. These costs typically improve the property's value or extend its useful life. For example, installing a new roof, upgrading appliances, or adding a deck are capital expenses. They differ from regular operating expenses, like [repairs and maintenance](#), which are typically short-term and recurring.

Capital expenses includes capital works and [depreciating assets](#). These expenses are claimed over several years, rather than being deducted in the year they are incurred.

For a summary of the difference between repairs, maintenance and capital expenses, go to the ATO Publication Ordering Service to

download [Rental repairs, maintenance and capital expenditure \(NAT 75208, PDF 242KB\)](#) .

Capital works

Capital works includes expenses for building the property as well as structural improvements, alterations and extensions to the property. The rate of deduction for these capital works is generally 2.5% or 4% per year, spread over a period of 40 or 25 years respectively. Capital works deductions can't exceed your construction expenses.

You can only claim a [deduction for the capital works](#) on rental properties once construction has been fully completed, if the property:

- was built after 17 July 1985
- is rented or held to produce assessable income, that is, it must be available for rent on commercial terms .

An asset that is fixed to, or otherwise part of, a building or structural improvement, will generally be a construction expense and can only be claimed as capital works.

Preliminary expenses such as architect fees, engineering fees, surveying fees, foundation excavation expenses and costs of building permits also form part of construction expenses.

Examples of capital works expenses include:

- building and construction costs
- alterations to a building
- major renovations to a room
- [substantial renovations to a property](#)
- adding a fence
- building extensions such as garages and patios
- adding structural improvements such as a driveway or retaining wall.

Example: completion of capital works before claiming a deduction

Jin decides to add a carport to his rental property. He organises a company to supply and install it and pays a deposit of \$1,000 on 24 June 2024. The carport is completed on 1 July 2025 (the following income year) and he pays the remainder \$2,500.

Jin can start claiming a capital works deduction of \$87.50 ($\$3,500 \times 2.5\%$) in the income year the work was completed. The capital works deduction will be spread over a period of 40 years, at 2.5% per year.

Example: replacing assets in a residential property

Janet has owned and rented out a residential property since 12 January 1986. In 2025, she replaced the old kitchen fixtures, including the cupboards and appliances. The old cupboards had deteriorated through water damage and wear and tear.

The kitchen cupboards are separately identifiable capital items with their own function. This means the cost of completely replacing them is a capital cost. Because of this, Janet can claim:

- capital works deductions for the construction cost of this work
- deductions for the decline in value of the new kitchen appliances (none of these appliances were previously used).

This is the case regardless of whether:

- new fittings are of a similar size, design and quality as the originals
- new cupboards are made from a modern equivalent of the material used in the originals
- layout and design of the new kitchen may be substantially the same as the original.

Improvements

An improvement is anything that makes part of the property better, more valuable, more desirable or changes the character of the item that is being worked on.

Capital improvements (such as remodelling a bathroom or adding a pergola) should be claimed as capital works deductions.

Improvements include work that:

- provides something new
- furthers the income-producing ability or expected life of the property
- goes beyond just restoring the efficient functioning of the property.

Improvements can be either capital works where it is a structural improvement or capital allowances where the item is a [depreciating asset](#).

Example: property improvements

Tim replaced a fibre cement sheeting wall inside his property because it was damaged by tenants. He replaced the old wall with a brick feature wall.

The new wall is an improvement because Tim did more than just restore the efficient function of the wall. This means Tim can't claim the cost of the new wall as a repair, but he can claim it as capital works deductions.

If Tim replaced the fibro with a current equivalent, such as plasterboard, he could have claimed his costs as a repair. This is because it would have restored the efficient function of the wall without changing its character, even though a different material was used.

Substantial renovations

Substantial renovations of a rental property are where all or substantially all, of a building is removed or is replaced. This could

include the removal or replacement of foundations, external walls, interior supporting walls, floors, roof or staircases.

For renovations to be substantial, they must directly affect most rooms in a building.

Renovations you make to a house are considered collectively, such as the:

- removal and replacement of the exterior walls
- removal of some internal walls
- replacement of the flooring
- replacement of the kitchen.

If the renovations are substantial, the property is treated as [new residential premises](#).

Apart from the cost of replacing [depreciating assets](#), the cost of all renovations are deductible as capital works.

The cost of replacing depreciating assets as part of substantial renovations, can be claimed as a decline in value deduction, provided the asset has been acquired as a [new asset](#) for the purpose of gaining income from rental income.

Example: claiming the cost of renovations

Jake bought a 4 bedroom residential property in October 2025 as a rental property. As Jake was keen to get tenants as soon as he took possession of the property, he engaged a real estate agent when the contract became unconditional. The real estate agent advised him of the maximum rent he could charge and started to advertise the property as being available to rent from one day after settlement.

Three months before selling, the previous owners removed a wall between 2 bedrooms and turned the space into a large bedroom with an ensuite. They also repainted and recarpeted the room.

Even though Jake acquired the property within 6 months of the renovations being completed, the renovations only affected a part of the house, and aren't classified as being substantial renovations.

The previous owners provide Jake with the renovation construction costs.

The cost of the renovations, excluding the new carpet and any other depreciating assets replaced, can be claimed as a capital works deduction by Jake.

As the new carpet and other depreciating assets are not acquired as new assets by Jake, he can't claim a deduction for their decline in value.

However, if Jake buys any brand-new depreciating assets for the property, he will be able to claim a deduction for their decline in value.

Work out your capital works deductions

You can claim capital works deductions for certain construction costs for your rental property.

QC 103909

Work out your capital works deductions

You can claim capital works deductions for certain construction costs for your rental property.

Last updated 22 June 2026

Limits to claiming capital works deductions

You can only claim a deduction for those periods during the year you used your rental property for income-producing purposes. You can't claim for the period you use the property for personal purposes.

Example: how to work out capital works deductions from the date construction starts

On 1 March 2026, Meg purchased a rental property for \$700,000 and immediately rented it out. Meg obtained a report from a quantity surveyor stating:

Construction of the property started in February 2005.

The property is a residential townhouse.

Construction was completed in November 2005.

The townhouse was built by a developer.

The estimated cost of constructing the townhouse was \$500,000.

Meg claims a capital works deduction in her 2026 tax return for her rental property based on the estimate of the construction costs she gets from the quantity surveyor. However, she only claims a deduction for that part of the year her property was used for an income producing purpose (1 March 2026 to 30 June 2026). The rate of deduction she claims was 2.5% as construction of her residential property started after 15 September 1987.

Her annual capital works deduction was calculated as follows:

$$\$500,000 \times 2.5\% \text{ (see [note](#))} = \$12,500$$

Note: See the date construction started for different rates of reduction.

As the property was only used for income producing purposes for 122 days in 2026, her 2025–26 claim was calculated as follows:

$$\$12,500 \times (122 \div 365) = \$4,178$$

What you need to know to work out your claim

As a general rule, you can claim a capital works deduction for the cost of construction for 40 years from the date the construction was completed. However, to make sure that you are eligible, you must have all of the following:

- details of the [type of construction](#)
- the [date construction commenced](#)
- the date construction was completed
- the [construction cost](#) (not the purchase price)
- details of [who carried out the construction work](#)
- details of the period during the year that the property was used for income producing purposes.

Capital works expenses you incur form part of the cost base of your property for capital gains tax purposes. If you claim a capital works deduction, you will need to take this into account when you work out your capital gain or loss.

If it isn't possible to determine the actual construction costs, you can obtain an estimate from a quantity surveyor or other independent qualified person. You can claim a deduction for the fees you pay to obtain this estimate.

For information about how capital works deductions affect the CGT cost base, see [Cost base adjustments for capital works](#).

Types of construction and the date construction commenced

To be eligible to claim a capital works deduction, construction work must start after the date relevant to that type of construction in the table below.

The amount you can claim for construction expenses depends on the type of construction and the date you start construction. Your capital works deductions can't exceed the construction expenses. This table shows the rate of deduction and the period over which you can claim the deduction depending on the type of construction.

Table: Capital works deductions for buildings and structural improvements

Type of construction	Construction commenced after	Applicable years and deduction rate per year
You intend to use the building on completion to provide short-term accommodation to travellers in: - apartment buildings in which you own or lease at least 10 apartments - units or flats - hotels - motels - guest houses with at least 10 bedrooms.	21 August 1979	22 August 1979 to 21 August 1984 – 2.5% 22 August 1984 to 15 September 1987 – 4% 16 September 1987 to 26 February 1992 – 2.5% (where the construction related to certain pre-16 September 1987 contracts, the rate is 4%) 27 February 1992 onwards – 4%
Building intended to be used on completion for non-residential purposes such as a shop or office.	19 July 1982	20 July 1982 to 21 August 1984 – 2.5% 22 August 1984 to 15 September 1987 – 4% 16 September 1987 onwards – 2.5%
Any building intended to be used on completion for residential purposes or to produce income.	17 July 1985	18 July 1985 to 15 September 1987 – 4% 16 September 1987 onwards – 2.5% (where the construction related to certain pre-16 September

		1987 contracts, the rate is 4%)
Structural improvements intended to be used on completion for residential purposes or to produce income.	26 February 1992	27 February 1992 onwards – 2.5%
Environment protection earthworks intended to be used on completion for residential purposes or to produce income.	18 August 1992	18 August 1992 onwards – 2.5%
Any capital works used to produce income, even if they were not intended to be used for that purpose. For pre-1 July 1997 works only, the capital works must have been intended for use for specified purposes at the time of completion.	30 June 1997	The capital works must actually be used in a deductible way in the income year in which the deduction is claimed (see above onwards rates details for each type of construction).

Two point 5 per cent means that you can claim deductions for 40 years and 4% means for 25 years.

You can start claiming capital works deductions only when construction of the relevant capital works is completed.

Although you may be able to claim capital works deductions for your building costs, you may not be able to claim these deductions for certain costs such as for general landscaping.

Construction cost

You must provide evidence of the construction costs by either of the following:

- precise documents that show the construction costs such as receipts
- a report written by an appropriately qualified person.

The following items can't be used as the construction cost:

- the purchase price of the building and land
- the insured cost
- the replacement cost.

If you were the owner builder

If you carried out the construction as an owner builder, the value of your contribution to the works doesn't form part of the construction cost. This includes:

- your labour and expertise
- any notional profit element – that is, an amount you might consider as a profit margin on the construction cost.

Obtaining the construction information

You should make sure you keep records that detail the construction costs whether:

- you carry out the construction
- you contract a builder to carry out the construction.

If you don't have a record of the construction costs (for example, where the vendor didn't provide them) you will need to obtain this information from either the previous owner or an appropriately qualified person. This could be a:

- quantity surveyor
- clerk of works, such as a project organiser for major building projects
- supervising architect who approves payments at project stages
- builder with experience estimating construction costs of similar building projects.

You can claim a deduction for your costs of obtaining this information from an appropriately qualified person in the income year you pay it.

Quantity surveyor reports can also include a schedule of depreciable assets (capital allowances). You can claim a separate deduction for the decline in value of depreciating assets in a rental property:

- if you bought the rental property before 7:30 pm (AEST) on 9 May 2017 – it doesn't matter if the property was brand new or not
- if the depreciating asset is brand new – purchased at or after 7:30 pm (AEST) on 9 May 2017
 - as part of your brand-new property
 - that you subsequently bought for your existing (non-new) property
- if you bought the property on or after 7:30 pm (AEST) on 9 May 2017 to provide residential accommodation, the property has to be brand new or substantially renovated if no one previously claimed any depreciation deductions on the asset, and either
 - no one lived in the property when you acquired it, or
 - if anyone lived in the property after it was built or renovated, you acquired it within 6 months of the property being built or renovated
- the property doesn't provide residential accommodation, or
- the asset is used in carrying on a business, or
- the entity claiming depreciation is a
 - corporate tax entity
 - superannuation plan other than a self-managed superannuation fund
 - public unit trust
 - managed investment trust
 - unit trust or partnership whose members are any of the entities in this list.

You should provide the buyer with a capital works notice containing information to allow them to work out their capital works deduction if you both:

- are a vendor disposing of capital works begun after 26 February 1992
- were able to claim a deduction for those capital works.

The notice should be provided within 6 months following the income year that you dispose of the property or a further period allowed by us.

Where you don't use the property to gain rental income, the vendor disposing of the property doesn't need to provide the purchaser with a notice. In this situation, the purchaser can obtain an estimate, usually from an appropriately qualified person.

Remember to obtain your construction costs report as soon as possible, as these reports can take a long time to prepare. If you obtain a report after you lodge your tax return, you can amend your tax return by a certain later date. There is [a time limit on amending tax returns](#) where we have already issued a notice of assessment.

QC 21620

Borrowing expenses

Find out which borrowing expenses you can claim, and how to claim them.

Last updated 22 May 2026

About borrowing expenses

Borrowing expenses are the expenses you incur to take out a loan to buy property.

You must claim a deduction for all eligible borrowing expenses for 5 years or spread it over the term of the loan, whichever is shorter.

If the total deductible borrowing expenses are \$100 or less, they are fully deductible in the income year you incur them.

If you have refinanced or redrawn on your loan, see [Interest expenses](#).

If your rental property is also your holiday home, borrowing expenses will be an ownership expense, you can only claim a deduction for

[ownership and use expenses](#) if you used the property (or held it for use) mainly to produce rental income. For more information about what expenses you can and can't claim for a holiday home, see [Holiday homes](#).

For a summary of this information in poster format, go to the ATO Publication Ordering Service to download [Rental borrowing expenses \(NAT 75210, PDF 210KB\)](#) [↗](#).

Borrowing expenses you can claim

You can claim a deduction for the following as borrowing expenses:

- loan establishment fees
- lender's mortgage insurance (insurance taken out by the lender and billed to you)
- title search fees your lender charges
- costs for preparing and filing mortgage documents (including solicitors' fees)
- mortgage broker fees
- fees for a valuation required for loan approval
- stamp duty you pay on the mortgage.

Borrowing expenses you can't claim

You can't claim any of the following as borrowing expenses:

- the amount you borrow for the property
- loan balances for the property
- interest expenses (as these are claimed separately)
- repayments of principal against the loan balance
- stamp duty charged by your state or territory government on the transfer (purchase) of the property title (as this is a capital expense)
- legal expenses including solicitors' and conveyancers' fees for the purchase of the property (as this is a capital expense)

- stamp duty you incur to acquire a leasehold interest in property such as an Australian Capital Territory 99-year crown lease (but you may be able to claim this as a [lease document expense](#))
- insurance premiums where, under the policy, your loan will be paid out in the event that you die, become disabled or unemployed (as this is a private expense)
- borrowing expenses on any portion of the loan you use for private purposes (for example, money you use to buy a car).

You may be able to include capital expenses in the 'cost base' of your property. This can help you reduce the amount of [capital gains tax \(CGT\) you pay when you sell your property](#). The expenses you incur when purchasing and selling your rental property are capital expenses.

Example: calculating borrowing expenses over 5 years

On 3 July, Peter took out a 25-year loan of \$300,000 to purchase a rental property. Peter's deductible borrowing expenses were:

- \$800 stamp duty on the mortgage
- \$500 loan establishment fees
- \$300 valuation fee required by the bank for the loan.

Peter also paid \$12,000 in stamp duty on the transfer of the property title. He can't claim a deduction for this expense but it will form part of the cost base of the property for CGT purposes when he sells the property.

As Peter's borrowing expenses are \$1,600, which is more than \$100, he must claim them over 5 years from the date he took out his loan for the property. He works out his borrowing expense deduction as follows:

- For the first year, Peter performs the following steps
 - Step 1: work out the number of days from 3 July to 30 June (363)
 - Step 2: work out the number of days in the 5-year period from 3 July in Year 1 to 2 July in Year 6(1,826)

- Step 3: divide the number of days in Step 1 by the number of days in Step 2 ($363 \div 1,826$)
- Step 4: multiply Step 3 result by the total borrowing expenses of \$1,600 ($363 \div 1826 \times \$1,600 = \318.07). He claims \$318.07 as a deduction in his tax return.
- For Years 2 to 5, Peter performs the following steps
 - Step 1: works out the remaining borrowing expenses, by reducing the original borrowing expenses of \$1,600 by deductions already claimed in previous years
 - Step 2: works out the number of days in the income year (Year 4 is a leap year)
 - Step 3: works out the number of days remaining in the 5 years (this includes the number of days in the income year for which he is preparing the tax return)
 - Step 4: divides Step 2 result by Step 3 result
 - Step 5: multiplies Step 4 result by Step 1 result (equals the amount he claims as a deduction in his tax return).
- By the end of the Year 5, Peter has claimed deductions totalling \$1,598.25 on his respective tax returns.
- In the final year, Peter performs the following steps
 - Step 1: works out the remaining borrowing expenses, which equals \$1.75 ($\$1,600 \text{ minus } \$1,598.25$)
 - Step 2: works out the number of days between 1 July and 2 July (equals 2)
 - Step 3: works out the number of days remaining in the 5 years ($1,826 - 1,824 = 2$)
 - Step 4: divides Step 2 result by Step 3 result (equals one)
 - Step 5: multiplies Step 4 result by Step 1 result (equals \$1.75). Thus, Peter claims a deduction of \$1.75 in his Year 6 tax return.

How to calculate borrowing expenses

Generally, borrowing expenses are claimed over the first 5 years of owning your rental property.

If you got the loan part way through the income year, you need to adjust your claim according to the number of days in the year you had the loan.

You can claim a deduction for the balance of the borrowing expenses in the final year of repayment if you either:

- repay sooner than the term of the loan
- repay your loan in less than 5 years.

You can use our [Deductible borrowing expenses calculator \(xlsx, 178KB\)](#) [📄](#) to work out your claim.

Example: work out borrowing expenses for the maximum 5-year period

Fiona and Max (as joint tenants each with 50% interest) secure a 20-year loan of \$209,000 to buy:

- a rental property for \$170,000
- a car for private use for \$39,000.

They pay for establishment fees, valuation fees and stamp duty on the mortgage. Their borrowing expenses on the loan total \$1,670.

As their borrowing expenses are more than \$100, they must apportion their deduction over 5 years because it's less than the period of the loan (20 years).

As they use part of the loan (\$39,000) for a private purpose, they can't claim a deduction for borrowing expenses on this portion of the loan.

Fiona and Max secure the loan on 17 July. They work out the borrowing expense deduction for the first year as follows:

Borrowing expenses × (number of relevant days in income year ÷ number of days in the 5-year period) × (amount of rental property loan ÷ total amount borrowed) = deduction for the year.

As joint tenants, they need to report their share (50%) in each of their tax returns.

They work out their borrowing expenses deduction for each income year as shown in the table below. Year 4 is a leap year.

Borrowing expense calculation

Borrowing expense calculation

Year	Calculation	Available deduction for the year
1	$\$1,670.00 \times (349 \div 1,826) = \319.18 $\$319.18 \times (\$170,000 \div \$209,000)$	\$259.62
2	$\$1,350.82 \times (365 \div 1,477) = \333.82 $\$333.82 \times (\$170,000 \div \$209,000)$	\$271.53
3	$\$1,017.00 \times (365 \div 1,112) = \333.82 $\$333.82 \times (\$170,000 \div \$209,000)$	\$271.53
4 (leap year)	$\$683.18 \times (366 \div 747) = \334.73 $\$334.73 \times (\$170,000 \div \$209,000)$	\$272.27
5	$\$348.45 \times (365 \div 381) = 333.82$ $\$333.82 \times (\$170,000 \div \$209,000)$	\$271.53
6	$\$14.63 \times (16 \div 16) = \14.63 $\$14.63 \times (\$170,000 \div \$209,000)$	\$11.90

QC 103910

Interest expenses

Find out which interest expenses you can claim and what to do if your loan account is used for private purposes.

Last updated 21 May 2026

About interest expenses

When you take out a loan for a rental property, you need to pay interest on the amount you borrow from your bank or lender. We refer to these as interest expenses. The principal amount is the money you borrow from your bank or lender.

If you use the principal amount to buy a rental property and it is rented or [held to produce assessable income](#), for the entire income year, you can claim a deduction for the interest charged on the loan.

You can only claim a portion of your interest expenses as a deduction if you either:

- use a portion of the principal amount to buy your rental property
- the property is rented or held to produce assessable income for rent for part of the income year.

If your rental property is also your [holiday home](#), you can't claim a deduction for interest expenses, or any other [ownership or use expenses](#), unless you [used the property \(or held it for use\), mainly to produce rental income](#). For more information about holiday homes and what expenses you can claim, see [Holiday homes](#).

You can't claim a deduction for additional payments made to reduce the principal amount of the loan.

Claiming interest expenses

For a summary fact sheet of what you can and can't claim, go to the ATO Publication Ordering Service to download [Rental interest expenses \(NAT 75207, PDF 215KB\)](#) [↗](#).

Interest expenses you can claim

You can claim the interest expenses on the loan principal (mortgage) you use to:

- buy a rental property
- buy a depreciating asset for the rental property – for example, an air conditioner for the rental property
- pay for deductible expenses – for example, to make repairs to the property that arise as a result of you renting it out
- finance renovations and extensions to the rental property.

You can also claim interest expenses when:

- you have [pre-paid](#) interest expenses up to 12 months in advance
- during the period you're repairing [damage to your rental property](#), making it uninhabitable while the repairs are taking place.

Example: joint borrowers, joint owners – claiming share of interest incurred

Kosta and Jenny take out an investment loan for \$350,000 to purchase an apartment they hold as joint tenants.

They rent out the property for the whole year from 1 July. They incur interest of \$30,000 for the year.

Kosta and Jenny can each make an interest claim of \$15,000 in their respective tax returns for the first year of owning the property.

Example: joint borrowers, sole owner – claiming all interest incurred

Simone decides to purchase a rental property. When she approaches her bank for a loan, they require her husband Jarrod to be a co-borrower, even though the rental property will be solely in Simone's name.

When Simone and Jarrod enter into the loan agreement with the bank, they also enter into a separate legally enforceable written agreement with each other. The agreement is witnessed by a

justice of the peace and states that Simone, as the sole owner of the rental property, is 100% liable for the loan repayments and interest.

As the sole owner of the property, Simone must declare 100% of the rental income in her tax return.

Simone can also claim a deduction for 100% of the interest expenses. Simone's agreement with Jarrod shows her intention to be liable for all of the loan repayments and interest charged on the joint loan. Simone's bank statements also support her intention as they show that she paid all the repayments and interest expenses from her own bank account.

Interest expenses you can't claim

You can't claim a deduction for interest expenses:

- for any period the property is used for private purposes, even if it's a short period of time
- on the portion of the loan used for private purposes (for example, to purchase a car), either when
 - you took out the loan
 - you refinance the loan
- on a loan you used to buy a new home if you don't use the new home to produce income, even if you use your rental property as security for the loan
- on a loan to purchase your [holiday home](#) unless you [use the property \(or hold it for use\), mainly to produce rental income](#).

Example: claiming part of the interest incurred

Yoko takes out a loan of \$400,000 and uses the loan to:

- buy a rental property for \$380,000
- buy a new car for \$20,000 for private use.

Yoko rents her property for the whole year from 1 July. Her total interest expense on the \$400,000 loan is \$35,000.

Yoko works out how much interest she can claim as a deduction, using the following calculation:

Total interest expenses × (rental property loan ÷ total borrowings) = deductible interest

$\$35,000 \times (\$380,000 \div \$400,000) = \$33,250$

Yoko can claim an interest expense deduction of \$33,250.

The ratio between the deductible and private components of the loan is 95% and 5%. Yoko must continue to apportion interest in accordance with this ratio for the life of the loan. Similarly, any repayments of principal are applied in the same ratio.

Loan accounts used for private and rental expenses

If you have a loan account used for both private purposes and rental property expenses, you must keep accurate records to enable you to calculate the interest that applies to the rental property portion of the loan.

You must separate the interest relating to the rental property from any interest on funds used for private purposes.

You can't only repay the portion of the loan for your private purchases. All loan repayments must be apportioned across both rental and private portions of the loan for the length of the loan.

For apportionment calculations in these situations, see paragraphs 19 and 20 of [TR 2000/2](#) *Income tax: deductibility of interest on moneys drawn down under line of credit facilities and redraw facilities*.

Example: interest incurred on a mortgage for a new home

Zac and Lucy take out a \$400,000 loan secured against their existing home to purchase a new home.

Rather than sell their existing home, they decide to rent it out.

They have a mortgage of \$25,000 remaining on their existing home which is added to the \$400,000 loan under a loan facility with sub-accounts – that is, the 2 loans are managed separately but are secured by the one property.

Zac and Lucy can claim a deduction for the interest charged on the \$25,000 loan for their original home, as it is now rented out.

They can't claim a deduction for the interest charged on the \$400,000 loan used to purchase their new home. Even though the loan is secured against their rental property, the new home isn't being used to produce income.

Example: interest incurred on funds redrawn from the loan halfway through the year

Tyler has an investment loan for his rental property with a redraw facility. He is ahead on his repayments by \$9,500 which he can redraw. Halfway through the year, Tyler redraws the available amount of \$9,500 and buys himself a new TV and a lounge suite.

The outstanding balance of the loan after the redraw increases to \$365,000 and total interest expenses incurred immediately before the redraw are \$9,300. The total interest on \$365,000 for the year is \$19,000.

Tyler can only claim the interest expenses on the portion of the loan relating to the rental property. He uses the following calculations:

Total loan balance – redraw amount = rental property loan portion

$$\$365,000 - \$9,500 = \$355,500$$

To work out how much interest he can claim, he does the following calculation for the period following the redraw:

Total interest expenses after the redraw × (rental property loan portion ÷ loan balance at the time of the redraw) = deductible interest

$$(\$19,000 - \$9,300) \times (\$355,500 \div \$365,000) = \$9,448$$

Tyler can claim interest of \$18,748, being \$9,300 plus \$9,448.

The ratio between the deductible and private components of the loan is 97.4% and 2.6%. Tyler must continue to apportion interest and repayments of principal in accordance with this ratio for the life of the loan.

Example: interest incurred on deposit

Pauline has an existing home which is her main residence and isn't rented. She wants to purchase a rental property for \$700,000. She receives pre-approval from the lender for an investment loan amount of \$630,000. Pauline redraws \$140,000 from her personal home loan to pay a deposit of \$140,000 to buy the property.

When the property settles, the lender advances \$630,000 to her. She uses \$560,000 to settle the purchase of the property. The remaining \$70,000 of the \$630,000 is paid to reduce the amount redrawn from her personal home loan. This amount was used to pay the deposit, reducing the redrawn amount from \$140,000 to \$70,000. She immediately begins renting the property.

Pauline can claim a deduction for the interest charged on the entire \$630,000 loan:

- She can claim a deduction for the interest on the \$560,000 component of the loan used to settle the property, as that is being used to purchase the rental property from which she will earn assessable income.
- She can claim a deduction for the interest on the \$70,000 component of the investment loan that was used to partially repay the drawdown. This is because the funds used to refinance the drawdown takes on the same character as the drawdown. Since interest on the original drawdown would be deductible, because it was used to pay the deposit for the rental property, interest on the \$70,000 amount used to repay the drawdown would also be deductible.

She can also claim a deduction for interest expenses charged on the remaining \$70,000 of the drawdown that was used to finance the deposit on the rental property.

Example: interest incurred on personal funds

Barbara wants to purchase a rental property for \$700,000. She obtains pre-approval for an investment loan of \$630,000. She pays a deposit of \$140,000 to purchase the property which is funded from a gift by her parents.

When the property settles, the lender advances \$630,000 to Barbara. She uses \$560,000 to settle the purchase of the property. The remaining \$70,000 is left in a savings account where it will be used for private purposes.

Barbara can't claim a deduction for the whole interest expense charged on the total loan amount of \$630,000:

- She can claim a deduction for the interest charged on the \$560,000 component of the total loan amount which was used to settle the property, as that is being used to purchase the rental property from which she will earn assessable income.
- She can't claim a deduction for the interest charged on the remaining \$70,000 amount that is now in her savings account to be used for private purposes. The funds are not being used to refinance a loan used to pay the deposit as the amount provided by her parents wasn't a loan. The \$70,000 in her savings account is being used for private purposes and isn't being used to earn assessable income.

Thin capitalisation

Thin capitalisation rules may affect you if the combined debt deductions (for example, interest) of you and your associated entities are more than \$2 million in any income year and you are:

- an Australian resident and you (or any associated entities) have
 - certain international dealings
 - overseas interests
- a foreign resident (or associated entity) with certain investments in Australia.

You must consider the [thin capitalisation rules](#) each year.

QC 103911

Rental properties and travel expenses

If you have a residential rental property, you may not be able to claim a deduction for related travel expenses.

Last updated 22 June 2026

Deductions for travel expenses

From 1 July 2017 you can't claim any deductions for the cost of travel you incur relating to your residential rental property unless you are either:

- [in the business of letting rental properties](#)
- an [excluded entity](#).

Prior to 1 July 2017:

- you could claim your travel expenses relating to your residential rental property, and
- you didn't include the travel expenses in the cost base or reduced cost base when calculating any capital gain or capital loss when you sold the property.

Travel expenses include the costs you incur on car expenses, airfare, taxi, hire car, public transport, accommodation and meals to:

- inspect, maintain or collect rent for a rental property you own or have an ownership interest in
- travel to any other place as long as it is associated with earning rental income from your existing rental property (for example, visiting your real estate agent to discuss your current rental property).

A residential premises (property) is land or a building that is:

- occupied as a residence or for residential accommodation
- intended to be occupied, and is capable of being occupied, as a residence or for residential accommodation.

To be residential premises, the premises must be fit for human habitation.

For example, a house or a unit used as residential accommodation to produce rental income is residential rental property.

A caravan or a houseboat is generally not residential rental property.

Example: individual with residential rental property

Sarah owned and rented out her residential rental property in the 2025–26 income year. She travelled to the property to repair damages caused by tenants during the year.

As the investment is a residential property and Sarah isn't in the business of letting rental properties or an excluded entity, she can't claim a deduction for her travel expenses.

Commercial rental properties, for example factories or office blocks, are not residential rental properties. If you own or have an ownership interest in a commercial rental property, you can claim a deduction for travel expenses incurred in earning your rental income from the property.

Example: ownership interest in commercial property

Kei is the sole owner of a commercial rental property. Her husband, Bert, occasionally drives to the rental property in his own car to undertake maintenance. As he has no ownership interest in the property, Bert can't claim travel expenses. Similarly, since Kei didn't travel to the property to undertake the maintenance, she can't claim a deduction.

As the property is a commercial rental property rather than a residential rental property, if Kei and Bert co-owned the property, Bert could share his travel expenses with Kei in line with their legal interest in the property.

Example: individual with a commercial investment property

In the 2025–26 income year, Greg purchased a shopfront and leased the property to Paul. Paul used the shopfront to operate a bakery and paid rent to Greg under a 12-month lease contract.

Greg travelled to the shopfront to inspect the property at the end of the tenancy agreement. As the property was used for commercial purposes, Greg can claim the travel expenses.

In the business of letting rental properties

You can claim your travel expenses if you are in the business of letting rental properties. Generally, owning one or several rental properties will not be considered being in the business of letting rental properties.

If you are an individual and you receive income from letting property to a tenant, or multiple tenants, you are not typically carrying on a business of letting rental properties. Generally, we consider your activities are a form of investment rather than a business, so you can't claim deductions for travel expenses.

Entities that can claim travel expenses

You can claim travel expenses, if you're a:

- corporate tax entity
- superannuation plan that isn't a self-managed superannuation fund
- public unit trust

- managed investment trust
- unit trust or a partnership, where all of the members are entities of a type listed above.

Example: an excluded entity in 2025–26

Terry's Pty Ltd, a property manager, incurred travel expenses in 2025–26 to inspect a tenanted residential investment property. Since Terry's Pty Ltd is a corporate tax entity (a company), it can claim a deduction for travel expenses.

Travel expenses you can't claim

Even if you are eligible to claim travel expenses, you still can't claim for expenses related to:

- your personal use of the property or for purely private purposes
- carrying out general maintenance of the property while it's not genuinely available for rent
- undertaking repairs, where those repairs are not because of damage or wear and tear incurred while you rented out the property.

For example, if you travel to undertake initial repairs before you rent the property for the first time, these are capital expenses and may be included as part of the cost base for capital gains tax calculation when the property is being sold later.

If your travel expenses are partly for private purposes and partly related to the rental property, you can only claim the amount relating to the rental property.

Travel expenses before you purchase

You can't claim for travel expenses to inspect a property before you buy it.

You also can't claim for travel expenses to (or other costs for) rental seminars about helping you find a rental property to invest in.

Seminars are only tax deductible if they relate to earning rental income from your existing rental property. When a seminar teaches you how to locate a suitable rental property to buy, you can't claim a deduction against rental income for the cost of the seminar because the costs incurred are 'too soon' before the start of the income producing activity.

Some promoters have incorrectly told taxpayers that they can claim the cost of their travel to and from a property they may purchase. You can't claim these costs for properties within Australia nor overseas.

Travel expenses you can claim

If you are [in the business of letting rental properties](#) or an [excluded entity](#), and eligible to claim travel expenses, the types of expenses you can claim include:

- preparing the property for new tenants (except for the first tenants)
- inspecting the property during or at the end of tenancy
- undertaking repairs, where those repairs are because of damage or wear and tear incurred while you rented out the property
- maintaining the property, such as cleaning and gardening, while it is rented or genuinely available for rent
- collecting the rent
- visiting your agent to discuss your rental property.

For more information, see [Rental expenses](#).

Car travel

If you are [in the business of letting rental properties](#) or an [excluded entity](#), and eligible to claim travel expenses, and you use your own car to travel to inspect your rental property or to collect rent, you must use the same method to calculate your deductions as work-related [car expenses](#).

Overnight travel

If you are [in the business of letting rental properties](#) or an [excluded entity](#), and eligible to claim travel expenses you can claim a deduction for travel expenses for travelling to your rental property if:

- you own a rental property that is far away from where you live
- it would be unreasonable to expect you not to stay near the rental property overnight when making an inspection
- your main purpose in travelling was to inspect and maintain the rental property.

Where you stay overnight, you can claim meals and accommodation.

Where your trip is mainly for private purposes (for example, having a holiday) and inspecting the property is incidental to that main purpose, you can't claim the costs of getting to your destination or returning home. You can only claim local expenses incurred after you arrive at your destination that are directly related to the property inspection such as taxi fares to and from the rental property. You may also be able to claim a proportion of your accommodation expenses.

Overseas travel

If you are [in the business of letting rental properties](#) or an [excluded entity](#), and eligible to claim travel expenses, and you are an Australian resident and own a rental property overseas, you may travel overseas on holiday and inspect your rental property at the same time.

If the main purpose of the trip is a holiday, you can't claim the cost of getting there. You can only claim local expenses incurred after you arrive at your destination that are directly related to inspecting the property, such as taxi fares to and from the rental property. You may also be able to claim a deduction for part of your accommodation expenses.

You must be able to show your reason for visiting the rental property.

The records you keep, such as invoices for your accommodation or airline tickets, will help you do this.

Record keeping for travel expenses

If you can claim your travel expenses and you travel over a considerable distance to inspect a [rental property](#) (for example, interstate), you need written records to show that you travelled and what expenses you incurred.

Written records can include:

- a travel diary
- receipts for
 - airline tickets
 - fuel
 - accommodation
 - other purchases while travelling
 - items you used for repairs and maintenance that you purchased when you travelled to, or stayed near, the rental property.

If you spend 6 or more nights away from where you live, you must keep a travel diary or similar document that shows the nature of the activities, dates, places, times and duration of your activities and travel.

QC 22093

Asbestos-affected properties

If you own an asbestos-affected investment property, check the deductions you can claim. CGT may apply if you sell it.

Last updated 22 June 2026

Claiming expenses

Asbestos contamination may mean a property can no longer be rented out or must be vacated for a time. In that case some deductions may still apply, including for:

- interest on loans against the property (these are deductible for the whole year, if the property is later rented out after remediation)
- expenses such as council rates, water and land tax
- repairs and maintenance – for example, ensuring living areas are sealed from contaminated areas, such as ceiling, internal cavities

and subfloor

- decline in value of written-off and replacement depreciating assets, such as carpet
- capital works for replacement buildings, fences and similar.

Expenses for [capital works](#) are claimed over a period of 40 or 25 years. The [decline in value of depreciating assets](#) is also generally claimed over several years.

For more information on expenses you can claim, see [TR 2004/4](#) *Income tax: deductions for interest incurred prior to the commencement of, or following the cessation of, relevant income earning activities*.

Environmental protection costs

If your asbestos-related remediation expenses aren't covered by the above deductions, costs to remove asbestos from a rental property can be classified as an environmental protection activity under [section 40-755](#) of the *Income Tax Assessment Act 1997*.

For more information, see [TR 2020/2](#) *Income tax: deductions for expenditure on environmental protection activities*.

Government buy-back program

If you participate in a buy-back program, the CGT implications will vary depending on your situation.

If the property was solely used as your main residence for the entire period of ownership, there are no CGT implications on the disposal of your property.

If you used the property to produce income, there are [CGT implications](#). These will depend on your circumstances, including if it was ever your main residence and how long you've owned it.

Apartment building defect expenses

If you own an apartment in a building complex, you may be able to claim deductions for shared expenses to fix defects.

Last updated 22 June 2026

Apartment building defects

The apartment complex

If you own an apartment in a building complex, you may have a shared responsibility to fix building defects. You may need to make:

- a contribution to a special body corporate levy (this is most common)
- changes as required by a state government building authority.

This is usually for common property. Common property is generally all areas of the land, building and external structures not contained within your apartment.

The apartment itself

If your apartment is a rental property, you can claim deductions for repairs, environmental protection activities and capital works on the same basis as if you:

- directly own the building
- were directly paying the expense.

Repairs and maintenance you can claim

You can claim an immediate deduction for the expenses you incur when you contribute to the repair or maintenance of either:

- an apartment you use to earn rental income

- part of the building complex that you hold or use as part of earning rental income.

These expenses must meet the requirements for a deduction as a [repair or maintenance](#). That is, they must relate directly to wear and tear or damage because of renting out the property. Repairs generally involve a replacement or renewal of a worn out or broken part. Maintenance is work done to prevent deterioration, defects or damage. For example, repainting of the outside parts of the building where the paint is peeling is a repair as well as maintenance.

You can't claim an immediate deduction for capital repairs or capital maintenance. For example, expenses which are capital or of a capital nature include:

- replacement of an entire structure or unit of property
- improvement in the function of the replacement item
- [initial repairs](#) to rectify damage, defects or deterioration that existed at the time of purchasing a property.

Combustible cladding replacements you can claim

You can claim a deduction for costs you incur to replace or contribute to the replacement of combustible cladding to meet government requirements.

To be able to claim a [deduction](#), you must replace the combustible cladding with fire resistant cladding. You treat the replacement of the cladding as [capital works](#). This is because we treat the replacement of cladding as:

- an entire functional structure (being the outer covering of the building)
- an improvement in the function of the outer covering of the building.

This means the building is no longer a fire hazard and becomes fire resistant as an improved functional operation of the cladding.

You can claim a deduction for the amount you contribute over a period of either 25 or 40 years. That is, 4% or 2.5% of the cost of the

improvement being allowed in each year. See [Table 1 – types of rental property construction that qualify for deduction](#).

The replacement of combustible cladding doesn't meet the requirements to be deductible as a repair or environmental protection activity.

Environmental protection activities you can claim

You can claim a deduction for costs you incur to carry out environmental protection activities.

Environmental protection activities are those you carry out because your earning activities will result or likely result in the need for you to:

- prevent, fight or remedy pollution
- treat, clean up, remove or store waste.

You can't claim a deduction as environmental protection activities where you incur the costs to either:

- replace building products that don't conform to statutory legal requirements
- remove building products that don't conform to statutory legal requirements.

For more information on deductions and strata titles, see:

- [TR 97/23](#) *Income tax: deductions for repairs*
- [TR 2020/2](#) *Income tax: deductions for expenditure on environmental protection activities*
- [TR 2015/3](#) *Income tax: matters relating to strata title bodies constituted under strata title legislation paragraphs 40 and 41.*

QC 63879

Our commitment to you

We are committed to providing you with accurate, consistent and clear information to help you understand your rights and entitlements and meet your obligations.

If you follow our information and it turns out to be incorrect, or it is misleading and you make a mistake as a result, we will take that into account when determining what action, if any, we should take.

Some of the information on this website applies to a specific financial year. This is clearly marked. Make sure you have the information for the right year before making decisions based on that information.

If you feel that our information does not fully cover your circumstances, or you are unsure how it applies to you, contact us or seek professional advice.

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